

ASCII MASTER FLOW – PANEL 1/9: Fiscal-federal problem and the Articles 270-282 constitutional chain

ROOT PROBLEM

Union has broader buoyant taxes; States carry service-heavy expenditure duties.

VERTICAL IMBALANCE

Union versus all States -> size of States' collective share.

HORIZONTAL IMBALANCE

differences among States -> inter se distribution formula.

ARTICLE CHAIN

270 divisible taxes | 271 Union surcharges | 275 grants-in-aid
279 net proceeds and CAG certification | 280 Finance Commission
281 report + explanatory memorandum | 282 public-purpose grants.

CORE DISTINCTION

gross tax revenue != net proceeds != divisible pool != State share != grants.

ASCII MASTER FLOW – PANEL 2/9: Article 280 institution: constitution, qualifications, procedure and report

CONSTITUTION

President constitutes every fifth year or earlier if necessary.

Chairman + four other members.

FINANCE COMMISSION ACT, 1951

Chairman -> public-affairs experience.

Other members -> judicial qualification | government finance/accounts
| financial administration | economics.

OPERATING DESIGN

President appoints and fixes terms through constituting order

-> Commission determines procedure -> civil-court-type evidentiary powers.

ARTICLE 281

recommendations + explanatory memorandum on action taken

-> laid before each House of Parliament.

LIMIT

recommendations are expert and advisory, not self-executing decrees.

ASCII MASTER FLOW – PANEL 3/9: Divisible pool, vertical share and horizontal devolution formula

GROSS UNION TAX COLLECTION

minus collection cost -> net proceeds.

OUTSIDE THE SHAREABLE POOL

Article 271 surcharges + constitutionally earmarked cesses + excluded receipts.

DIVISIBLE POOL

specified net Union-tax proceeds under Article 270.

VERTICAL DEVOLUTION

Commission recommends percentage for all States together.

HORIZONTAL DEVOLUTION

State share distributed by weighted criteria:

income distance / need | population | area | forest/ecology
| demographic performance | tax effort | other award-specific criteria.

ANALYTICAL TEST

equity + efficiency + predictability + data quality + incentives.

TRAP

a high headline percentage does not neutralise a shrinking divisible base.

ASCII MASTER FLOW – PANEL 4/9: Grants-in-aid, Article 282 and the tax-versus-grant distinction

ARTICLE 275

Parliament may provide grants-in-aid of revenues of States in need and constitutionally specified welfare/administration grants.

FINANCE COMMISSION ROLE

recommend principles governing Article 275 grants and award-specific grant categories within terms of reference.

ARTICLE 282

Union or State may make grants for any public purpose even beyond the ordinary legislative field.

Bhim Singh (2010)

supports the breadth of Article 282 public-purpose grants.

TAX DEVOLUTION

share in common tax pool
formula entitlement

GRANT

transfer for need/purpose/design
may be conditional or category-specific.

LIMIT

Finance Commission grant, Article 282 grant and centrally sponsored scheme are not synonyms.

ASCII MASTER FLOW – PANEL 5/9: Panchayat, Municipality and State Finance Commission augmentation chain

73RD AND 74TH AMENDMENT LINK

Article 280(3)(bb) -> augment State Consolidated Fund for Panchayats.

Article 280(3)(c) -> augment State Consolidated Fund for Municipalities.

TEXTUAL BASIS

recommendations of the State Finance Commission under Articles 243I and 243Y.

FLOW

local functions and finances -> SFC assessment

-> Union Finance Commission augmentation recommendation

-> Union budget/guidelines -> State fund -> eligible local bodies.

ACCOUNTABILITY

accounts + audit + timely SFCs + transparent release + service outcomes.

LIMIT

Union local-body grants supplement; they do not replace State devolution, own revenue or the constitutional role of State Finance Commissions.

ASCII MASTER FLOW – PANEL 6/9: Fourteenth, Fifteenth and Sixteenth Finance Commission trajectory

FOURTEENTH FINANCE COMMISSION: 2015-20

States' vertical share raised from 32% to 42%.

FIFTEENTH FINANCE COMMISSION: 2021-26

41% vertical share; six horizontal criteria

including demographic performance, forest/ecology and tax/fiscal effort.

SIXTEENTH FINANCE COMMISSION

constituted 31 December 2023 -> report submitted 17 November 2025

-> award period 2026-27 to 2030-31

-> Explanatory Memorandum tabled 1 February 2026.

DATED CONTROL

41% vertical share accepted for 2026-31.

Per-capita GSDP distance carries the largest horizontal weight, 42.5%;

GDP contribution appears with 10% weight.

LIMIT

report recommendation, government acceptance and annual implementation must remain separate.

ASCII MASTER FLOW – PANEL 7/9: Disaster finance, debt, borrowing and whole-government fiscal risk

DISASTER FINANCE

Finance Commission may recommend disaster-management funding arrangements within its terms of reference and the Disaster Management Act framework.

FISCAL ROADMAP

deficit and debt paths -> Union/State sustainability
-> transparent liabilities -> credible budget institutions.

OFF-BUDGET RISK

public entities borrow or defer payment outside headline budget
-> contingent liability or future servicing pressure
-> incomplete fiscal picture unless consolidated.

ARTICLE 293 LINK

State borrowing and Union consent conditions belong to the wider fiscal-federal system.

REFORM

comparable accounts + debt register + guarantee disclosure
-> independent projections + medium-term correction.

LIMIT

Finance Commission advice does not itself amend borrowing law or erase political choices.

ASCII MASTER FLOW – PANEL 8/9: Finance Commission compared with GST Council, NITI Aayog, CAG and SFC

FINANCE COMMISSION

Article 280 | periodic expert body | tax devolution + grants + fiscal advice.

GST COUNCIL

Article 279A | continuing Union-State forum | GST recommendations and bargaining.

Mohit Minerals (2022) -> recommendations persuasive, not legislative commands.

NITI AAYOG

executive-resolution policy platform | strategy and cooperative dialogue

| no Article 280 transfer award.

CAG

Articles 148-151 | audits and certifies net proceeds under Article 279

| does not allocate the divisible pool.

STATE FINANCE COMMISSION

Articles 243I/243Y | State-local fiscal relations every five years.

TRAP

coordination, distribution, strategy, audit and State-local review are different functions.

ASCII MASTER FLOW – PANEL 9/9: Fiscal-federal debates, PYQ routes, traps and final answer spine

CORE DEBATES

cesses/surcharges and divisible-pool erosion | equity versus incentive
| data lag and climate/ecology costs | tied schemes versus State autonomy
| local-body absorption and accountability | debt and off-budget opacity.

PRELIMS FIREWALL

Chair + four | five years or earlier | President constitutes
| Article 281 requires report and memorandum
| vertical != horizontal | Article 275 != Article 282
| SFC != Union Finance Commission | CAG certifies net proceeds.

PYQ ROUTES

2018 constitution/Tor | 2021 Fourteenth FC | 2023 horizontal criteria
| 2025 Fifteenth FC facts | 2025 Centre-State finance.

MAINS SPINE

define imbalance -> article chain -> transfer mechanism -> award evidence
-> contested incentive/autonomy effect -> implementation qualification
-> predictable, transparent and accountable fiscal-federal verdict.